
Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI



The Spark

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet. AI researchers became rockstars, hacker houses overflowed with autonomous agents and companionship chatbots, and the arXiv printing press became so prolific that researchers jokingly called for a pause on publications.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

in startup revenue — a milestone that took SaaS years, not months, to reach.

ChatGPT

Fastest-growing application in history, with strong product-market fit among students and developers.

Midjourney

Reported hundreds of millions of dollars in revenue with a team of just 11 people.

Character.ai

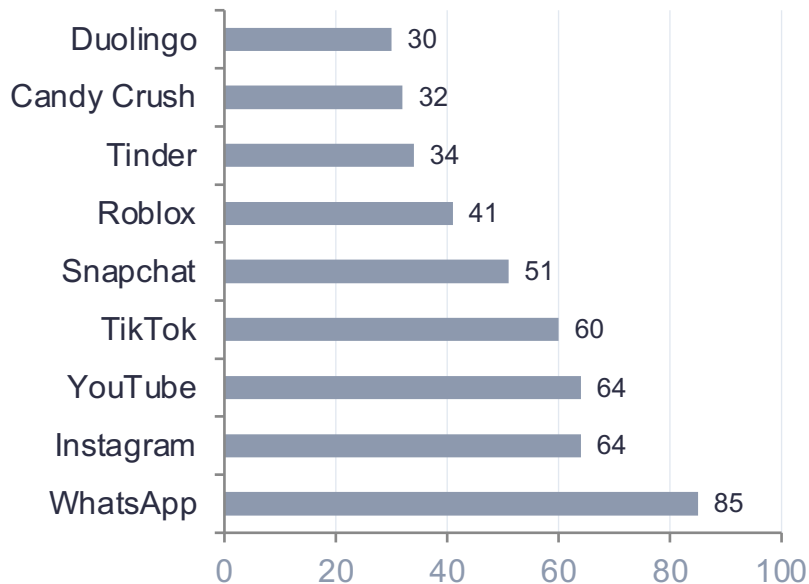
Popularized AI entertainment and companionship; users spend an average of 15 minutes per session on the app.

Reality Check

Despite rapid revenue growth, many AI companies still lack product-market fit or sustainable competitive advantage. Excitement quickly turned to hysteria — every company became an 'AI copilot,' inboxes filled with undifferentiated pitches, and cracks appeared around IP, regulation, and retention.

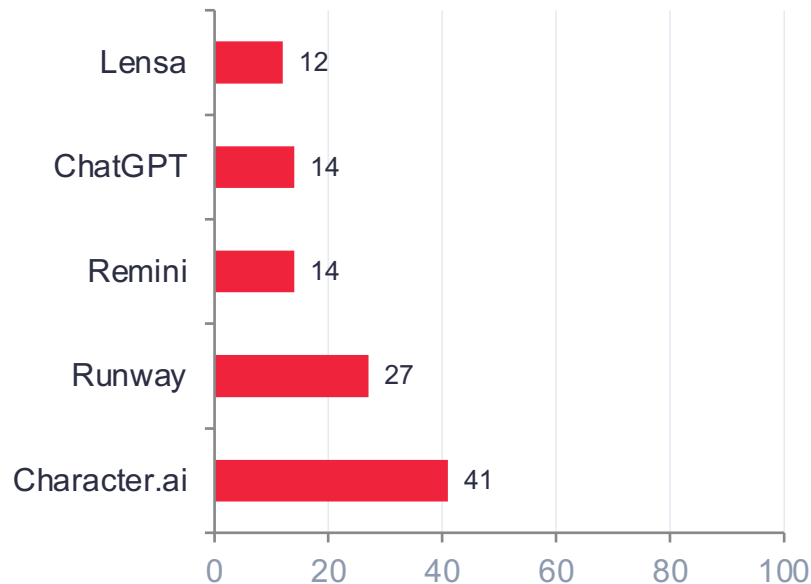
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Incumbents



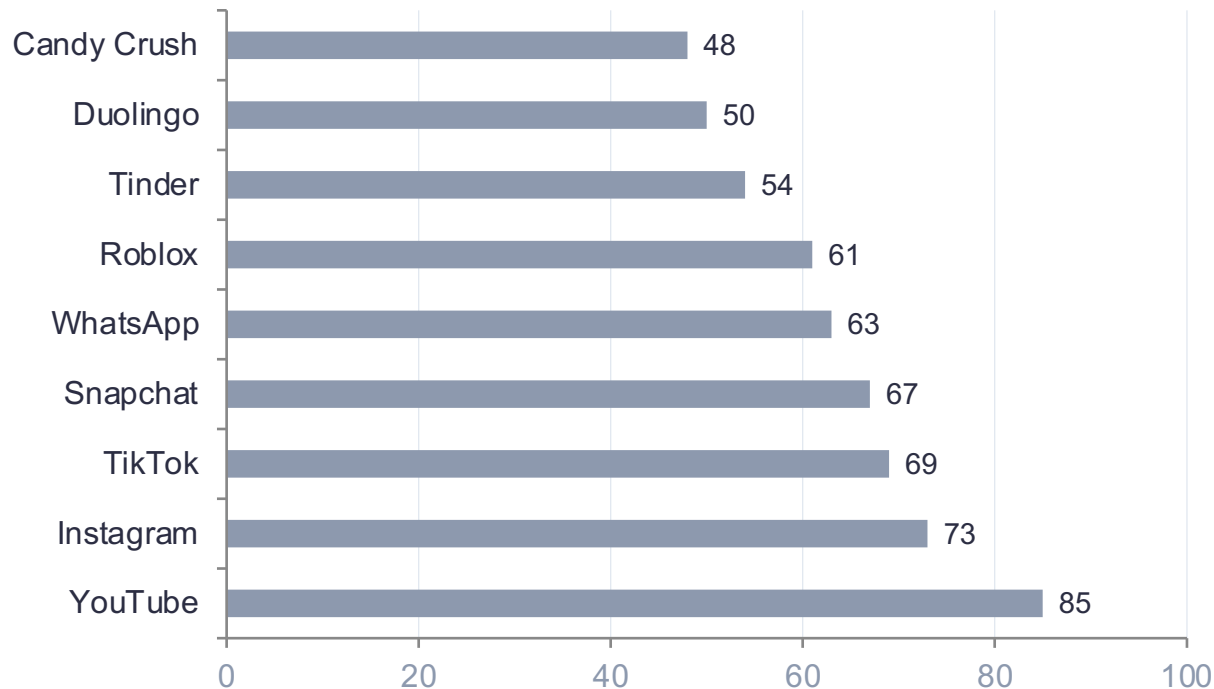
Median: 51%

AI-First Companies



Median: 14%

YouTube Leads Incumbents at 85% Monthly Active Usage



Benchmark Context

Median

63%

This second benchmark shows an even higher engagement bar for established consumer apps, contextualizing the challenge AI-first products must overcome to achieve sustainable product-market fit.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

Foundation models are the entire solution

Novelty demos and lightweight wrappers

Single-modal, thin applications

Poor user retention and stickiness

Act 2: Customer-Back

Foundation models are a piece of a comprehensive solution

New editing interfaces that make workflows stickier

Multi-modal, integrated experiences

End-to-end problem solving

Act 2 Exemplars

Harvey — Custom LLMs for elite law firms
Ava — Digital companions

Glean — Crawling and indexing workspaces for relevant enterprise AI

Character &

Market Map Reorganized by Use Case, Not Model Modality

Legal

Harvey

Custom LLMs for elite law firms

Enterprise Search

Glean

Crawling and indexing workspaces

Companionship

Character & Ava

Digital companions

Old Organization

Model Modality

Text · Image · Code

New Organization

Use Case

Reflects actual value delivery

Why It Matters

This reorganization mirrors the broader Act 1 to Act 2 transition. As applications become increasingly multi-modal, categorizing by model type (text, image, code) no longer reflects how customers derive value. Use-case-driven categories align the market map with the actual problems being solved.

Key Takeaways: What Separates Winners in Act Two

01

Retention is the critical challenge

AI-first apps show 14% median retention vs. 51% for incumbents — a 3.6x disadvantage that must close for sustainable businesses.

02

Foundation models should be a component, not the whole product

Act 2 winners integrate models into comprehensive solutions rather than offering thin wrappers around raw technology.

03

Multi-modal, workflow-integrated solutions will win

New editing interfaces and end-to-end problem solving create stickiness that novelty demos cannot match.

04

The \$1B+ revenue milestone proves real demand exists

Despite hype-cycle skepticism, generative AI startups exceeded \$1B in revenue faster than SaaS ever did.

05

Companies solving end-to-end human problems will define Act 2

The market map is reorganizing by use case, not model modality — value delivery is the new organizing principle.